latest smartphone seems to be too much of a wait when the same can be done right away with a consumer loan. But knowing which loan is good and which isn't is a useful exercise and is easy for everyone to understand and follow.

Whether the debt is good or bad depends on several factors and knowing how and how much you should borrow can be confusing. Moreover, the type of loan that may be right for you depends on your unique situation, which means you need to figure the best way to incorporate smart debt in your financial plan. There are certain common factors when it comes to borrowing—your existing credit score, the interest rate on the loan you take, the tenure of the loan in which you would repay it and the amount you borrow itself. You also need to factor in your unique tolerance for debt.

The simple difference between good and bad debt is based on the fact that good debt is borrowing that helps you build long-term wealth and bad debt is one that can harm your credit score and deplete your finances. There are also risks and costs associated with borrowing, which borrowers sometimes ignore at the time of taking a loan. For instance, short-term unsecured loans often come at high interest rates and penalties compared to a long-term secured loan like the one taken to buy a house.

Often, people have their first brush with a loan for when they start earning and get their own credit card. The credit limit on a card is often assumed to be savings, which can be easily used up without realising the after-effect of doing so. "My credit card got blocked because of repeated delays in repaying the outstanding and my irregular repayments," says Shetty. At the beginning, he was meticulous in paying the credit card outstanding on the due date. But then he started using the card on everything he spent on, which resulted in overspending. "My spending went out of control and soon I maxed out on the card," he adds.

Credit card debt is probably the most common example of bad debt. It is a bad form of debt because of the high interest rates. Loan on white goods and consumer goods is the next culprit. Vidya Shah, a 46-year-old Mumbai resident, purchased a microwave in 2021 worth Rs 14,000 from a large-format retailer. As she was about to pay for the microwave, a smart loan salesman lured her into a six-month easy-to-repay EMI with zero per cent interest on the sale. She was tempted at the offer because all she had to do was pay an additional Rs 200 and the loan was backed because of her existing debt card.

"I saw it happen before my eyes. I had the money, I wanted to pay in full and then this boy got me talking and within minutes I felt I had saved the money instead of spending what I had saved up for in one go," she says. Once Shah reached home and checked her transaction, she realised that she was outwitted by a 20-something salesman. She had paid for two EMIs to pick her microwave, which meant instead of 6 months, her EMI was for five and she had paid the processing fee. The microwave now cost her Rs 14,200 instead of Rs 14,000.

Big retailers of white goods, mobile phones, laptops and even clothes have figured a smart way to attract consumers—push year-long sales through offers. Along with banks and manufacturers, they have devised zero per cent EMI schemes. There are two variants in such offers—one, where there is a processing fee, which amounts to an interest charge. The other is a subvention type scheme where they do not charge a processing fee, but the interest component is borne by the card issuer or the retail merchant.

"I did not understand why retailers would absolve the interest or processing fee. I believed that I was get-

ASK MORE QUESTIONS WHEN YOU ARE TAKING A LOAN TO UNDERSTAND WHAT YOU ARE GETTING INTO. IT WILL MAKE YOU REALISE WHAT YOU ARE PAYING FOR

BORROWING THUMB RULES

THE COST OF YOUR HOME

3-4 TIMES Your annual household income is the ideal cost of the home you can afford comfortably. Do not buy a house based on the EMI that you think you can manage. So, if you and your spouse earn Rs 30 lakh a year, you should spend Rs 90 lakh to Rs 1.2 crore

THE EMI YOU CAN AFFORD

It is best to be debt free, but to achieve your financial goal of owning a house, you will need to depend on a loan to buy it

30-35% of your income should be the total EMI that you pay for all your loan liabilities, including home loan, personal loan, auto loan etc.

25-30%
Of your gross income should be the EMI towards home loan with the tenure of the loan as short as possible

5 YEARS
Prior to your retirement you should close all your debt obligations